Swedbank Robur

Swedbank Robur's Principles for shareholder engagement

November 2025

1. Shareholder engagement

Swedbank Robur

Swedbank Robur Fonder AB ("Swedbank Robur") is an asset manager and wholly owned subsidiary of the Swedbank Group that provides a broad range of financial services and products to many different customers.

Swedbank Robur is Sweden's largest asset manager and one of the largest shareholders in the equity market in Sweden and with significant shareholdings in other equity markets. Exercising the ownership role responsibly is an important element of the management assignment from fund unitholders.

Purpose of shareholder engagement

Swedbank Robur manages mutual funds and alternative investment funds, including special funds. Swedbank Robur's management assignment from fund unitholders, within the framework created by legislation and regulations, is to invest the fund's assets with the aim of generating a favourable long-term return for the fund's unitholders. In addition, with the goal of optimising the value of the companies' shares sustainably in the long term, we shall actively and responsibly exercise the rights and obligations that accompany ownership in the companies in which the funds have invested.

These Principles for Shareholder Engagement apply to all shareholdings in Swedbank Robur's funds. The Principles has primarily been developed based on Swedish limited liability companies that have issued shares that are traded on a regulated market in Sweden. When taking an active ownership role in foreign companies, companies traded on multilateral trading facilities or unlisted companies, these Principles are followed to the greatest extent possible, although deviations may occur on the basis of national codes and regulations, industry standards, stock exchange contracts, a company's specific situation and specific market conditions.

Swedbank Robur promotes public confidence in share ownership and the equity market, and to contribute to ensuring that the equity markets in Sweden and globally continue to be attractive and efficient securities markets in the future. We also aim to ensure that the companies and other market players observe generally accepted practice in the equity market.

Decision-making structure and managing conflicts of interest

Swedbank Robur's Principles for Shareholder Engagement have been adopted by the Board of Directors, which regularly reviews the Principles. At least half of the members of the Board of Directors of Swedbank Robur must be independent in relation to the Swedbank Group. Corporate governance matters of an essential and principal nature, such as the adoption of the Principles for Shareholder Engagement and matters where a conflict of interest between Swedbank Robur and the Swedbank Group or other banks or financial institutions may occur, are decided by the Board of Directors. Swedbank Robur's Articles of Association require that at least a majority of the independent Board members support the decision.

Swedbank Robur does not participate in the Nomination Committee of Swedbank AB or in companies that conduct operations similar to the Swedbank Group.

Swedbank Robur employees are generally not permitted to accept Board assignments in companies owned by Swedbank Robur's funds. In the case of alternative investment funds (excluding special funds), the CEO may decide to deviate from this Principle.

Swedbank Robur does not apply equity securities lending.

The fund company has established a corporate governance council, which serves as a council for information and experience exchange regarding nomination committees and general shareholder meetings for members of our nomination committees.

Ongoing corporate governance work is coordinated by the Sustainability & Corporate Governance team, but members of the fund company management, asset management and some of the Board's independent members are also active in this work.

Regulations

Swedbank Robur's operations are primarily regulated by the Swedish Investment Funds Act (2004:46) and the Swedish Alternative Investment Fund Managers Act (2013:561). These Acts contain the basic rule for fund operations, namely, that in all operations relating to management of the funds, the fund management company shall act exclusively in the common interest of the fund unitholders. For each of Swedbank Robur's funds, there are also fund regulations, approved by the Swedish Financial Supervisory Authority, stating, for example, how the fund's assets may be invested.

The Swedish Investment Funds Act (2004:46) also specifies that a fund management company may not exercise a significant influence on the management of a company.

Other regulations that are of significance for Swedbank Robur's corporate governance include rules and guidelines issued by the Swedish Investment Fund Association, primarily the Swedish Code of Conduct for Fund Management Companies and the Guidelines for Investment Fund Managers' Engagement as Shareholders. The guidelines take into account principles adopted by the European Fund and Asset Management Association (EFAMA).

In addition, recommendations concerning the responsibilities and role of shareholders are also contained in the Swedish Corporate Governance Code ("the Code"), Principles for Responsible Investments (PRI) and ICGN Global Stewardship Principles.

Responsible investments and exercising shareholder engagement

Swedbank Robur's vision is to be a world leader in sustainable value creation. Sustainable value creation refers to our ambition to create a long-term return for our customers, while also contributing to the positive development of society and the environment. We regard sustainability as an integrated part of well-managed and profitable companies.

Swedbank Robur believes that environmental and social issues and matters of business ethics and corporate governance affect fund returns, and that Swedbank Robur has a responsibility to act in these matters in the best long-term interests of the fund unitholders. Swedbank Robur applies three methods: include, exclude and engage. For more information, please refer to Swedbank Robur's Policy for Responsible Investments, Swedbank Robur's Strategy for Inclusion, Swedbank Robur's Strategy for Exclusion and Swedbank Robur's Strategy for Engagement.

Swedbank Robur works to reduce climate risks and to use our ownership influence to create opportunities for a broad climate transition. The fund company also works to integrate nature-related aspects into asset management and to use our ownership influence to counteract the loss of

ecosystems and species. For more information, please refer to Swedbank Robur's Climate Strategy and Swedbank Robur's Nature Strategy.

Means for shareholder engagement

Shareholders, the Board of Directors and management have different roles in terms of their responsibilities, rights and obligations. It is important to maintain a proper balance between these functions.

Shareholder engagement refers to the shareholders' influence on and control over a company's board of directors and management. Our shareholder engagement primarily takes place prior to and at general meetings through continuous dialogue with the boards of directors and company management (taking into consideration inside trading legislation), and – if deemed suitable – through coordination with other shareholders.

The general meeting is a company's highest decision-making body, and it is therefore important that Swedbank Robur participates in general meetings and exercises the voting rights for the shareholdings of its managed funds. We may depart from this principle if participation and voting by Swedbank Robur at general meetings is considered to be of minor importance to the fund's unitholders, for example if the ownership share is insignificant or if it represents only a small portion of the funds' total portfolio value.

In Sweden, Swedbank Robur usually participates in general meetings through its own representation, but postal voting and voting by proxy also occur. At general meetings of foreign companies, we generally vote by proxy. An analysis conducted by voting advisors is used prior to voting in foreign companies to ensure that issues have also been examined from an international and local perspective, but all decisions related to voting are made by Swedbank Robur.

Given Swedbank Robur's role as asset manager, it is important to ensure its freedom to take action regarding various investments. Situations may arise in which Swedbank Robur needs to act for change in a company or divest its shares in the company. A key factor for this choice in the individual cases is which alternative is expected to best meet the target of creating healthy long-term returns for the fund's unitholders.

Swedbank Robur considers participation in nomination committees[1] to be highly important and therefore generally participates in nomination committees when Swedbank Robur is one of the major owners and is offered the possibility to appoint a committee member. This applies to both Swedish companies that apply the Code and to companies in other markets that apply owner led nomination committees. It is important that participation in nomination committees is conducted in such a way so as not to impede the freedom to take action regarding the funds' shareholdings.

Monitoring of portfolio holdings takes place, for example, through analysis and screening of financial and non-financial reporting, notice material for general meetings, press releases, follow-up of media reporting and ongoing dialogue. Dialogue takes place regularly through representatives of Swedbank Robur, such as portfolio managers of actively managed funds, sustainability analysts, corporate governance managers and nomination committee members appointed by Swedbank Robur. Dialogue with the companies' representatives takes place at meetings initiated by the companies and at meetings initiated by representatives of Swedbank Robur. These meetings may take the form of regular updates or be held due to special events.

[1] A Swedish nomination committee is not a sub-committee of the board, but a drafting body for the shareholders' meeting made up of members who are appointed by the company's owners.

Cooperation with other shareholders

We believe that cooperation with other shareholders on certain issues can improve the possibilities for active and effective shareholder engagement. This could, for example, involve collaborating on sustainability dialogues with companies in a particular industry within the framework of PRI's principles or in cooperation with other institutional shareholders. Swedbank Robur is not a member of any fixed group of owners.

Communication

Swedbank Robur believes that it is highly important that its views on ownership matters are communicated to the fund unitholders and to the companies and other stakeholders in the capital market. Our ownership policy has been published since 1996. It is available on our website, where positions on major ownership issues are also stated, such as details of our participation in nomination committees, voting at general meetings and in the occurrence of public takeover bids.

Annual sustainability reports and other reports are also published on the website.

2. Corporate governance

Framework for corporate governance

Internationally accepted principles of good corporate governance, primarily the OECD's guidelines for multinational companies and the UN Global Compact, as well as national codes and regulations, industry standards, stock exchange contracts and specific market conditions are the starting points for Swedbank Robur's corporate governance work.

Swedbank Robur takes a positive view of the Swedish Corporate Governance Code ("the Code"). The Code is largely a codification of the practice developed over time regarding corporate governance in Sweden. Companies listed on the Stockholm Stock Exchange are required to apply the Code, and since 2018, it has also been a listing requirement for Nasdaq First North Premier. It is difficult to create a corporate governance code that is appropriate for all companies and situations. It must be possible to make adaptations for individual companies. The Code's principle of "comply or explain" is therefore key.

Equal treatment of shareholders

All shares in a company that carry equal rights to the company's assets and earnings should be treated equally and should have the same rights. Accordingly, the basic premise is that all shares in a company that have the same rights should have the same number of votes. In companies with differentiated voting rights, it is important to safeguard the interests of minority shareholders. The Articles of Association should not include any stipulations obstructing the purchase of shares.

In public tender offers, all shares entailing equal rights to the company's assets and profit shall be treated equally.

General meetings

The general meeting is an opportunity for all shareholders to meet and pose questions to the Board, the company's management and the auditors. Accordingly, it is very important that shareholders have the opportunity to be physically present at the meeting. Hybrid meetings that allow for virtual participation are regarded positively, while fully virtual general meetings are to be avoided. Shareholders shall have the right to propose their own items of business for the agenda of the general meeting and to nominate candidates to the Board of Directors, including in markets where this is not general practice.

It is important that the Board ensures that all shareholders, in adequate time prior to a general meeting, receive clear and relevant information and motivation regarding the proposals to be presented at the general meeting. Complete documentation for decisions must be available to the shareholders on the company's website in adequate time prior to the general meeting, preferably in conjunction with the publication of the notice convening the general meeting. The notice should be designed so that, as far as possible, shareholders who are not present at the meeting themselves are able to participate in voting on resolutions on equal terms with shareholders who are physically present at the meeting.

Nomination Committee

In many Nordic companies, the Nomination Committee is the general meeting's body for preparing decisions regarding voting and fee issues concerning the Board and auditors as well as the Nomination Committee's instructions for the incoming Nomination Committee. The Nomination Committee shall look after the common interests of all the shareholders.

In Swedish companies that are subject to the Code, the Nomination Committee is to consist of the company's largest owners, and the general meeting should appoint an instruction for the Nomination Committee. The instruction also sets out how the composition of the Nomination Committee should address significant changes in ownership. It is equally important to state that the mandate of the Nomination Committee remains in force until the next Nomination Committee has been appointed. No remuneration should be paid to the members of the Nomination Committee. Generally, only one board member, usually the Chair of the Board, should participate in the Nomination Committee in an adjunct capacity.

A well-structured nomination committee process includes, among other things, a board evaluation as a key component. In addition to reviewing the company's own board evaluation, the committee members should conduct their own interviews with board members and with the chairs of the board's committees.

The Nomination Committee shall also review the Audit Committee's annual evaluation of the audit work and consider the guidelines established for which services, aside from auditing, the company may purchase from the company's auditors. The company's Audit Committee is responsible for the audit procurement process, which is conducted in a transparent and open process with the Nomination Committee.

It is important that the Nomination Committee is able to dedicate the appropriate time it requires to fulfil its mandate. Accordingly, the Nomination Committee shall convene to schedule its assignments as soon as possible after its members have been appointed. Normally, the Chair of the Board shall convene the first meeting of the Nomination Committee. The Nomination Committee shall document its activities.

The activities of the Nomination Committee shall be conducted in such a manner as to ensure that the members of the Nomination Committee become insiders only in exceptional cases and only for brief periods.

In companies that do not have a Nomination Committee, there must be another structured and transparent process in place for the nomination and election of the Board of Directors.

Board of Directors

The Board is responsible for the company's organisation and management of the company's business. The Board members must protect the interests of the shareholders with the utmost integrity and actively promote the long-term optimisation of the share value. The Board must have good knowledge and understanding of sustainability areas that are relevant for the company's long-term competitiveness. Members of the Board shall be elected yearly.

It is important that the Board has the competence, experience, background, and diversity required in relation to the company's complexity and operations. Efforts shall be made to achieve a gender balance on the Board. To ensure that the Board can handle situations in which the interests of minority shareholders, in particular, are to be considered, such as in a public tender offer, the Board shall maintain a proper balance of independent and dependent members. To ensure the efficiency of the Board, it should not be too large and deputy members should normally not be appointed. Members of the Board should be shareholders in the company.

The CEO or senior executives of the company should not be a member of the Board. In markets where it is permitted for the CEO to also be the Chair of the Board, we deem it inappropriate that these roles are combined.

Board members should not have other assignments to such an extent that the member cannot devote sufficient time to their Board assignment and thereby actively contribute to effective Board work.

Auditing and internal control

The auditor is appointed by the General Meeting and has the task of reviewing the management of the company by the Board and company management on behalf of the shareholders. Accordingly, it is of major importance that the auditor assumes an impartial position in relation to these bodies and that the auditing in a company undergoes regular evaluations (quality reviews).

The auditor should provide the shareholders with comprehensive information regarding the audit of the company in the audit report as well as at general meetings.

Proper internal control is a natural element of the operations of all well-managed companies. It is the responsibility of the Board to ensure that the company has a sound control environment. The Board must strive to ensure that the reporting relating to internal control provides an accurate picture of the main risks the company faces and how it controls and follows up these risks.

Fees and remuneration to Board members

The general meeting shall make decisions regarding fees to Board members. If any other form of compensation is paid, it should be duly justified and disclosed in detail.

Swedbank Robur recommends fixed Board fees as a main principle. Board members may not participate in employee incentive programmes or incentive programmes that are similar to employee incentive programmes.

Remuneration to senior executives

There must be well-balanced guidelines for various compensation components for the employees. The sections of the guidelines that pertain to company management must be approved by the general meeting. The guidelines must also include terms and conditions for termination of employment and pension terms. Pensions should be earned in proportion to length of employment in the position and in a manner that enables the costs to be predicted by the company, such as through premium-based pension provisions.

The guidelines for remuneration must be designed to promote the company's business strategy and long-term sustainable value creation. Criteria for variable remuneration must be connected with predetermined and measurable targets that should be both financial and non-financial. A share of the criteria should be linked to the company's sustainability targets.

Even if the general meeting approves the remuneration guidelines, it is the Board's responsibility to ensure that the guidelines are well balanced and adapted to the company's circumstances. In addition, it is the Board's responsibility to ensure that the contracts with management are reasonable.

The company's remuneration report must provide clear information on the basis for the variable remuneration and a motivation for any deviations from the guidelines.

Share-based incentive programmes

It is in the shareholders' interest that the employees' commitment to creating long-term shareholder value increases. This can be achieved through well-conceived share-based and share price-based incentive programmes. Incentive programmes shall be reasonable from a shareholder perspective and designed to promote long-term share ownership.

Incentive programmes should cover a wider circle of employees in a company and not solely company management. The term “employees” refers to persons whose main employer is the company or another Group company. Incentive programmes based on shares in unlisted subsidiaries shall be avoided.

The Board must take full responsibility for the design of incentive programmes and not delegate this task to company management.

Programmes with a simple structure is to be preferred compared to more complex incentive programmes. The complexity of many incentive programmes places substantial responsibility on the Board to explain and justify their design as well as any local adaptations. The Board should establish proposals for incentive programmes among major shareholders in adequate time and shall allocate sufficient time in the establishment process to receiving the views of the owners.

Although an incentive programme in accordance with legislation or generally accepted equity market practice does not require approval from a general meeting, the programme should nevertheless be decided by the general meeting to ensure full transparency and the shareholders’ acceptance of the programme.

Participation in incentive programmes should normally be based on a clearly defined performance. This may be in the form of an individual financial investment by the participant or the achievement of performance requirements.

In case of an individual financial investment, it must always entail a degree of risk-taking for the participant, meaning total subsidies should not occur.

When based on achievement of performance requirements, these requirements must be quantitative, transparent and communicated to the participants in advance. The performance requirements must be connected as far as possible to the company’s long-term sustainable value creation. The evaluation period for long-term incentive programmes should be at least three years. As far as reasonably possible, the targets should be reported openly to the shareholders ahead of the decision or in the annual report afterwards. The requirements must be designed so that a substantial performance is required to receive the expected and maximum allotment, not just an increase in the share price.

Shareholders in the company shall receive detailed information about the incentive programmes’ structure and development and about the consequences for shareholders, such as dilution effects, effects on key metrics, and total costs for the company, including any hedging measures. Information shall be provided for both expected and maximum allotment. Incentive programmes should have a limit or a clause protecting the company against unreasonable allotment. Material assumptions for calculations shall be provided. The Board of Directors should also present an evaluation of previous incentive programmes and report on how they contributed to the development of long-term value for shareholders. Information shall be presented prior to any general meetings at which decisions on incentive programmes are to be made and continuously in the company’s annual report and on the company’s website.

Capital structure

Companies shall work actively to achieve an effective capital structure and must have the financial resources needed to secure and develop the company’s business. Surplus liquidity shall be distributed to the shareholders. In decisions as to whether this is to be done through a dividend, redemption procedure or share repurchase, the company’s individual situation must be taken into account. The companies must clarify their reasons for their chosen capital structure and dividend policy.

In the case of a share repurchase decision, the liquidity of the share, the effect on various share types with equal financial rights in the company, and the impact of existing and resolved incentive programmes must be given particular consideration. Authorisations regarding share repurchases should not exceed ten percent of the share capital.

New share issues shall primarily be conducted as cash issues with preferential rights for the company's existing shareholders. Deviation from existing shareholders' preferential rights ("private placements") should only be authorised in special situations, and the Board must provide a detailed motivation of such a proposal to the general meeting.

New share issue authorisations to the Board can be motivated for situations when delaying a decision on a share issuance until a general meeting would normally be deemed to be less appropriate, such as in the case of smaller acquisitions. The assessment must be restrictive with high transparency regarding the purpose, including the situations and conditions under which the Board may exercise the authorisation and should only be proposed as cash private placements in exceptional cases. Cash private placements must take place on market terms. General authorisations regarding share issues should be limited to a maximum of 10 per cent of the company's capital at the time of the general meeting.

The Board shall particularly consider and justify the total dilution that may result from a combination of authorisations regarding, for example, new share issues, share repurchases, the transfer of treasury shares and incentive programmes.

Sustainability

Sustainability risks and opportunities should be continuously analysed, evaluated and reported to the Board of Directors. Companies with a high level of risk related to sustainability in their operations due to, for example, their environmental impact or geographic presence are expected to have more advanced processes. The Board of Directors shall adopt a responsible approach and work actively on the sustainability issues that are relevant to the company. The company's position on relevant sustainability issues is to be documented in a Code of Conduct and in policy documents adopted by the Board.

The Board of Directors shall ensure compliance with the Code of Conduct and policy documents in all areas of the corporate group through the establishment of control and management systems. This comprises both internal operations and business partners as well as suppliers where relevant.

The Board shall continuously evaluate the company's efficiency and results of the sustainability work The Board shall ensure that the shareholders receive an accurate picture of the company's risks, position and active work in the area of sustainability. This should be achieved through external communications, such as annual reports and the website, where the Code of Conduct and policy documents should also be published. Swedbank Robur expects companies to:

- operate in line with the principles of the UN Global Compact, which is based on international norms for human rights, labour, the environment and business ethics.
- agree to work and report on sustainability risks and opportunities and principal adverse impact on sustainability factors.
- establish science-based climate targets for their operations that specify a greenhouse gas reduction in line with the 1.5-degree target contained in the Paris Agreement.
- contribute to the UN's 17 Sustainable Development Goals.

Sustainability-related matters to be addressed at general meetings sometimes take the form of shareholder proposals. Swedbank Robur evaluates these case-by-case, based on the best interests of the fund unitholders and our view of sustainable value creation. Some factors to be included in the evaluation are:

- whether the proposal addresses problems relevant and material to the company.
- whether the proposal raises an issue, which is best managed at company level, rather than through legislation or other regulations.
- whether the company has responded satisfactorily to the comments submitted by the proponent.
- whether the proposal would lead to a material improvement in a sustainability aspect compared with the current status.
- whether the proposal would give shareholders a better understanding of sustainability risks related to the company's operations.
- whether the demands on the company can be met without leading to unreasonable costs.

- whether the company has been associated with significant controversies or other events that damage confidence

Sustainability-related proposals vary considerably, and different subjects vary in frequency over time. Examples of sustainability-related themes and Swedbank Robur's general approach to these are:

- Proposals related to climate. Companies are expected to establish and publish targets for greenhouse gas emissions in line with the targets of the Paris Agreement. These targets must be clearly formulated and must include emissions in accordance with scope 1, 2 and (when these are assumed to be significant) 3 based on the Task Force on Climate-related Financial Disclosures (TCFD) or similar frameworks. Companies' climate reporting must be sufficient to provide investors with a clear view of the company's plan for reduced emissions, and this must be realistic given the company's strategy and sufficiently ambitious in terms of emission reductions.

- Proposals related to nature and biodiversity. All companies are expected to comply with relevant norms and conventions in the area. Companies operating in sectors deemed to be high-risk are expected to meet more stringent requirements, such as systematically preventing the pollution of air, water and land as well as establishing and publishing biodiversity goals.

- Proposals related to employee rights. Companies are expected to comply with legislation and international conventions and norms. They are also expected to ensure that suppliers' and employees' rights are respected and to offer good working conditions. Companies must ensure that all employees are treated equally and the workplace is free from discrimination and harassment. Whistleblower systems must be in place that are available to employees and external parties alike.

- Proposals related to animal welfare. All companies are expected to work proactively to avoid mistreatment of animals in the company's operations or value chain. Companies operating in sectors deemed to be high-risk in this area are expected to set goals for animal welfare issues and, when deemed relevant, to report publicly on their impact through their operations, production and value chain.

- Proposals related to human rights and children's rights. Companies are expected to meet the requirements of international conventions and guidelines in the area, such as the UN Guiding Principles on Business and Human Rights and the UN Convention on the Rights of the Child. This includes, for example, having systematic processes to prevent and counteract child labour and to enable parents to combine work with family life.

Transparency and disclosure

It is fundamentally important for a well-functioning equity market that the companies' information to shareholders and other stakeholders in the equity market is good.

The information shall be correct, relevant, reliable and open. In addition to providing an accurate picture of the company's economic/financial situation, the information shall also describe the company's sustainability work and enable a well-founded assessment of its future development.

It is a minimum requirement that the companies comply with the demands imposed by relevant laws, corporate governance codes and listing agreements.

The company should place particular emphasis on providing complete and accurate information on transactions and other conditions that could entail a conflict of interests between the company and parties closely related to the company.

More information about
responsible investments:

swedbankrobur.se